

Great Eagle Holdings Limited 0041

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by

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2026 2027

Price:	16.00	EPS	2.1	0
Shares Out. (in M):	748	P/E	7.6	0
Market Cap (in \$M):	1,534	P/FCF	6.2	0
Net Debt (in \$M):	107	EBIT	225	0
TEV (in \$M):	1,641	TEV/EBIT	7.2	0

Description

Summary Thesis

In recent years, many blue chip property conglomerates in Hong Kong have significantly re-rated, while committing to policies for capital recycling, lower holdco debt, lower capex, and progressively growing dividends. Most of the laggards have a range of balance sheet, asset quality, and capital misallocation issues.

Great Eagle Holdings Limited (0041.HK) is a unique exception – it is well-managed with nearly zero holdco debt, and no material exposure to Mainland China. The company has two listed subsidiaries - reversing the value of these entities implies a valuation of HK\$ 1.4/sh (9% of market cap) for the stub, where conservatively more than 60% of the company's value sits.

Great Eagle has a history of disciplined capital allocation, while also not hoarding cash. Its board is undergoing a generational transition, which may also catalyze increased focus on value maximization. To this point, Great Eagle currently trades at 7.6x adj. NPAT (CY26) with a 40% dividend payout ratio. All things considered, the company is well placed to follow its peers by increasing its payout ratio, which could catalyze a re-rating.

Overall, Great Eagle shares offer investors the opportunity to participate in a trend of re-rating among discounted property conglomerates. It is not unusual that Great Eagle shares have lagged its blue chip peers – the company is a mid-cap (US\$1.5bn market cap) with 29% float and zero sell-side coverage. Investors are being paid to wait for continued recovery in Great Eagle's share price, with a growing well-covered 6.9% LTM dividend yield and improving fundamentals.

Generational Transition

Great Eagle is 70.6%-controlled by Hong Kong's Lo Family. Leadership is slowly transitioning to the third generation, with a 79-year-old chairman, Dr. Lo Ka Shui and a board composed of elderly associates of Dr. Lo and his 106-year-old mother, Madam Lo. Presently, the only third generation family member on the board is Alexander Lo, the 40-year-old son of Dr. Lo, who has 16 years of experience at Great Eagle.

In 2015-23 there was a series of lawsuits over control and governance of the family trust initiated by factions of the family led by Madam Lo against the trustee. As manager of a discretionary trust, the trustee is responsible for representing the interests of beneficiaries impartially and in good faith. Court documents indicate that beneficiaries include 90 individuals across 4 generations. While litigation was decided in favor of the trustee, it remains exposed to ongoing dispute risk involving a large family with disputes and a litigious history.

The history of dispute and litigation at the trust provides a degree of oversight on governance and capital discipline. In recent years, Great Eagle has not committed to any large projects or investments, while reducing holdco debt, and increasing dividends. In 2021, Great Eagle ended its scrip dividend, improving alignment among shareholders, reducing dilution, and eliminating a mechanism for coercive ownership creep. This decision was likely influenced by the trustee being subject to family conflict and legal risks regarding its decisions to accept shares vs cash.

Sum of Parts Valuation

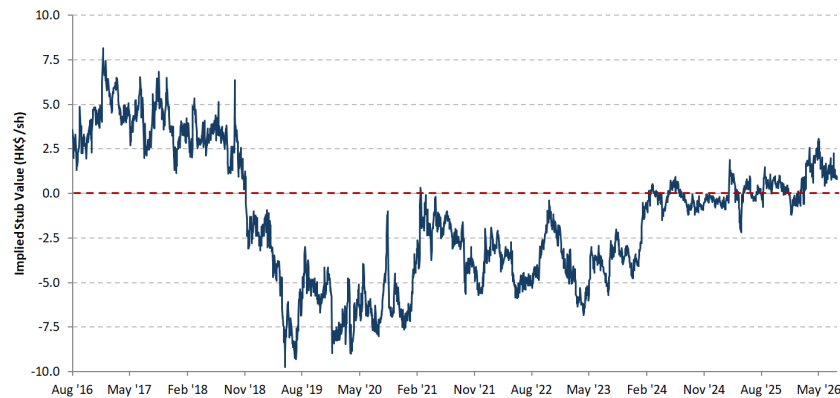
Outside of its global hotel portfolio, Great Eagle's assets are all situated in prime locations in Hong Kong. As a HK resident for more than 10 years, I have visited all of Great Eagle's major HK-based assets, and formerly worked in the Three Garden Road office tower. Management also provides third-party NAV estimates totaling HK\$82/sh, based on aggressive assumptions, which are ignored in this analysis, but which provide context on the perceived level of undervaluation.

(Units: HK\$M, unless otherwise stated)					
	Valuation	HK\$ per Share	2025 RR NOI	Valuation Mul.	Valuation Approach
Wholly-Owned Operating Properties					
Hotel Operations	13,555	18.1	1,152	8.5%	- Cap Rate
Multi-Family / Serviced Apts*	1,558	2.1	78	5.0%	- Cap Rate
Great Eagle Centre	778	1.0	62	8.0%	- Cap Rate
Other Retail	203	0.3	14	7.0%	- Cap Rate
Total	16,093	21.5	1,306	8.1%	- Wtd. Avg.
Other Assets					
Completed Condo Inventory	4,689	6.3	n.a.	1.0x	- Book Val Mul
Hotels Under Development	542	0.7	n.a.	0.5x	- Book Val Mul
JV Apartment Developments	1,602	2.1	n.a.	1.0x	- Book Val Mul
Champion REIT Manager	2,778	3.7	278	10.0x	- EBITDA Mul
Total	9,611	12.9			
Liabilities & Overhead					
Holdco / Developer G&A	(6,793)	(9.1)	(552)	8.1%	- Wtd. Avg Cap
Holdco Adjusted Net Debt	(835)	(1.1)	n.a.	n.a.	- Book Val
Other Net Liabilities	(290)	(0.4)	n.a.	n.a.	- Book Val
Total Stubco Valuation	17,786	23.8			
Implied Stub Valuation	1,055	1.4			
Market Valuation of Listed Subs					
			HK\$ / Sh	Shares owned	
Champion REIT (70.63% stake)	9,707	13.0	2,240	4,333	
Langham Hospitality Inv. (70.26% stake)	1,202	1.6	0.490	2,452	
Total Listed Sub Valuation	10,908	14.6			
Great Eagle NAV					
	28,694	38.4			
			NAV Disc.	No. of shares O/S (m)	
Great Eagle Market Cap	11,964	16.0	-58.3%	747.7	

*adjusted to annualize the impact of investments.

Historical Implied Stub Value

Historically, Great Eagle's stub has traded at up to HK\$ 7.5/sh, in 2016 at a time when the hotel business was smaller than it is today. At the time, Great Eagle's share price was also undervalued in part because it was paying dividends with a scrip option, which was unnecessary and value dilutive, given the company's strong balance sheet and NAV discount. At the current implied price of HK\$ 1.4/sh, the stub valuation is higher than its 2019-20 low points, but remains close to zero - undervaluing the company's growing hospitality portfolio, clean balance sheet, and potential for improving returns of capital to shareholders.



Hotel Portfolio

Great Eagle entered the hospitality business in 1996 through its purchase of London's Langham Hotel, a historic building opened in 1865 by the Prince of Wales. This property was used as the foundation for Great Eagle's luxury five-star brand. The business has grown over time, with the company currently operating 34 hotels with more than 11,000 keys. In addition to the Langham brand, Great Eagle also operates hotels under its other brands: Cordis, Eaton, and Ying'nFlo.

The hotel business is focused on developed western markets: North America (56% of revenue), London (15%), Australia/NZ (14%), and HK/China (14%). Its hotel assets are primarily owned and operated, while Great Eagle also acts as a manager to 14 hotels owned by third-parties, mostly located in Mainland China.

Langham Hotels operate with high daily rates on account of superior locations and facilities - the company's hotels on Fifth Avenue in New York, Franklin Street in Boston, and Pasadena are world class. In 2025, Great Eagle's hotel business achieved its highest EBITDA to date, at HK\$1.15bn. The

read-through of recent Q2 earnings reports by hotel owners indicates material upside in 2026. This has driven significant re-ratings across US listed hotel owners for 2026 YTD.

Great Eagle has taken a cautious approach to hotel development, mothballing its previous developments in San Francisco (written-off), Seattle (written-off), and Tokyo (planning phase for 10 years). Currently, the only hotel under development is a small 133-key hotel in Venice.

I value Great Eagle's wholly-owned hotel business at an 8.5% cap rate, based on multiples of hotel REITs, and with no value attributed to the brand. I value Great Eagle's development stage hotels at 0.5x book. Great Eagle also owns a small listed sub with three HK-based assets, which I value at its pro-rata interest.

Other Investment Properties

Great Eagle owns a growing portfolio of multi-family assets in Hong Kong, including four serviced apartment buildings and 134 residential condos purchased for rental. The serviced apartments are situated in desirable areas of Wan Chai and Happy Valley: (i) Convention Plaza Apartments located adjacent to the HK Convention Center, (ii) Eton Residences at 4H Village Road, (iii) Eaton Residences at 100 Blue Pool Road, and (iv) Ying'nFlo at 3-5 Wan Chai Gap Road. I value the resi investment properties at a 5% cap rate on estimated run-rate NOI.

Great Eagle also owns a prominent waterfront office tower known as "Great Eagle Centre" with well-occupied retail areas on the first and second levels. The property is adjacent to the HK Convention and Exhibition Centre and along the new HK Island Harbourfront Promenade, which generates high foot traffic. Similar to assets in the vicinity, the office has experienced elevated vacancy in recent years. Slow recovery is expected as spillover demand from Central drives leasing activity in Wan Chai. I value the asset at an 8% cap rate on in-place rent.

The company has a history of capital recycling, for instance through exiting a portfolio of office properties in Los Angeles and San Francisco in 2016-19, which was a well-timed exit.

Available For Sale Condo Inventory

Great Eagle currently holds ~290 unsold apartment units from recently completed projects. Around 90% of these units relate to its ONMANTIN project, a 990 condo development, situated above the Ho Man Tin MTR Station, completed in mid-2025. The asset is high-end (~US\$ 3k psf), situated in a prestigious area of Kowloon, within walking distance to some of the city's elite secondary schools. ONMANTIN was Great Eagle's most recent large development, acquired at a discount in 2021 as a result of distress of Goldin Financial Holdings, which originally acquired the site.

I value this inventory at cost and subtract associated liabilities, such as deposits and construction payables. This valuation is conservative as alternative data sources provide data on prices for the project trending upwards in 2025-26. Thus far, the project has generated low but positive margins based on discounted 2024 pre-sales prices.

Joint Venture Development Projects

Great Eagle owns minority stakes in three Kowloon based JV condo development projects, in partnership with Sino Land, which is a large, reputable, and well-capitalized developer. Construction will be funded through project-level debt and incremental equity funding is unlikely to be material. Great Eagle's choice in pursuing modest size JV developments alongside Sino Land is further evidence of capital discipline. The projects are expected to complete in 2029/30 and are valued at cost.

Champion REIT

Great Eagle owns a 70.77% interest in Champion REIT (2778.HK) and the holdco is compensated as REIT manager. The REIT contains the following assets: Three Garden Road (54% of NOI), Langham Place Mall (30%), and Langham Place Office (16%). These assets are grade A, and were originally developed by Great Eagle and completed in the late 90s / early 00s. Champion REIT was listed on the HKSE in 2006.

Three Garden Road is an office tower located in Central, next to HK Park and across the street from other iconic assets - Cheung Kong Center, BOC Tower, The Murray Hotel, and US Consulate. Tenants include Citi, ICBC, McKinsey, BlackRock, Allianz, CVC, and Bloomberg, among others. Occupancy stands at 81%, consistent with similar offices nearby. Within the REIT, this asset has the most promising recovery potential, as Central district has demonstrated a strong and sustained post-covid recovery, with 11 sequential quarters of positive net absorption. The first half of 2026 has also generated strong net absorption and increased rental rates.

Langham Place Mall is the pre-eminent mall in Hong Kong's Mongkok commercial district. The asset is 99.3% occupied and is likely to experience stable results, with upside depending on the trajectory of consumption from tourists. Langham Place Office is an A-Grade office situated in Mongkok

alongside the mall. It is 86.9% occupied primarily by healthcare and beauty sector tenants, and may remain under pressure as a result of upcoming lease expirations.

Overall, Champion REIT represents 35% of Great Eagle's sum-of-parts value. It trades like a bond at a 5.7% dividend yield and implied 6% cap rate (highly discounted vs mgmt. and sell-side NAV). Dividends from Champion REIT contribute 19.5% of holdco adj. EBITDA. Like many other office REITs, on a purely standalone basis this entity is a slow-moving recovery situation.

Capital Structure

Group indebtedness totals 16% LTV (reported), and is almost entirely at the listed sub level, and non-recourse to the parent. The only notable risk is leverage at Champion REIT, which in a downside scenario could lead the REIT to reduce its payout ratio. If that were to occur, it would not materially challenge FCF at the holdco (20% is from Champion REIT dividends) or the holdco's capacity to support a higher dividend. Overall low group leverage insulates the thesis from downside risk and interest rate sensitivity.

Overall

While Hong Kong property conglomerates have generated disappointing long-term historical returns, a trend of improving governance has emerged. This has primarily manifested through dividend growth, and where possible, through share repurchases, asset recycling, lower holdco leverage, and lower capex.

Meaningful re-rates have already played out in Hong Kong property conglomerate stocks previously written up by VIC members, including Swire Pacific (@sediment) and Jardine (@vanbr707). Just last week, Wharf REIC, a subsidiary of Wharf Holdings Ltd conglomerate, increased its payout ratio by 50%, an event unanticipated by the market, with no shareholder activism, but with management admitting to regular board debates on the topic.

In the case of Great Eagle, low float limits the scope for meaningful share repurchases. With the business de-risked and benefiting from industry tailwinds, a transition of governance to consider the wider interests of its shareholders can only mean delivering higher returns through the dividend in the short term. Longer-term opportunities may also exist to unlock value through a spin of the hotel business.

For the sake of illustration, should Great Eagle decide to adopt a 70% payout ratio, its shares could trade above HK\$25/sh (implying a stub valuation of HK\$10/sh), and at that level the company's shares would still offer attractive value (45% SoTP discount), growth tailwinds, and yield upside. In this regard, Great Eagle's deep value, high free cash flow yield, and high likeliness of increased capital returns make its share return profile highly asymmetric.

Risks

- Near-term headwinds from expiring leases at Three Garden Road and Langham Office and leverage within Champion REIT could extend the recovery timeline of that entity.
- While office demand in Central HK remains strong today, significant available capacity remains, and demand could worsen following adverse market or political events.
- Possibility of reversing previous positive governance changes, such as increasing capex in favor of larger development projects or re-initiating a scrip dividend.

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I and/or others I advise do not hold a material investment in the issuer's securities.

Catalyst

- Dividend increase
- Generational transition of board
- Continued growth of hotel business
- Continued recovery in Central HK office occupancy and rates

Messages

No messages